



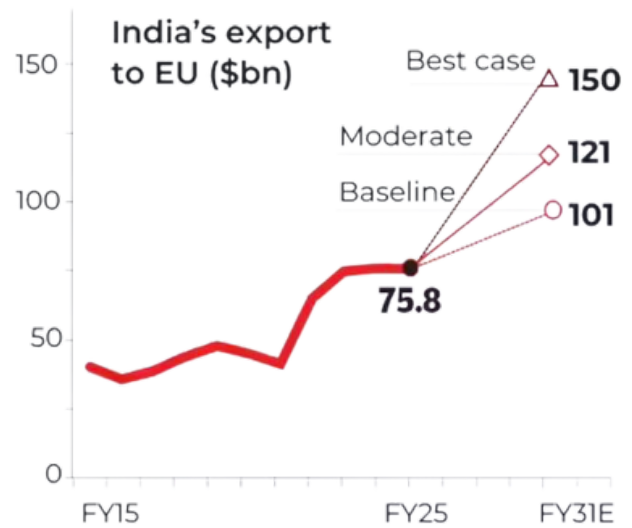
The Tale of Two Giants

By: Bhuvanya Ranjan
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FTA Overview

- Scale and headline figures: The agreement ties together an estimated combined market of US\$24 trillion, positioning the India-EU enabling trade and supply chain diversification for both parties.
- Current baseline: India-EU goods trade stood at US\$136.54 billion (FY 2024–25), with India exporting US\$75.85 billion and importing US\$60.68 billion; services trade totalled US\$83.10 billion in 2024.
- Upside for India: India secures preferential access across 97% of EU tariff lines, covering 99.5% of trade value. 70.4% of tariff lines (covering 90.7% of India's exports) move to immediate duty elimination, concentrated in labour-intensive sectors such as textiles, leather goods, gems and jewelry, and sports goods.
- Upside for EU: The EU states tariffs on 96.6% of its goods exports to India will be eliminated or reduced, with duty savings of up to €4bn per year for European firms.

India-EU FTA - Projected Trade Implications

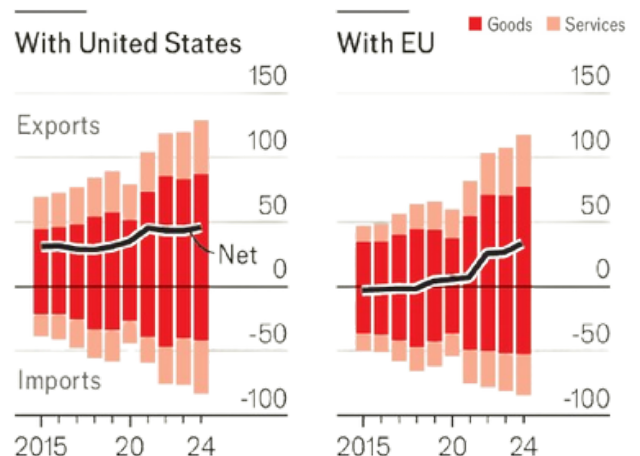


Source: Times of India

Geopolitical Context

This agreement is announced during a tumultuous time in geopolitics. US' aggressive tariff postures and unpredictable US trade policy, the Russia-Ukraine war, fragility of supply chains, and more recently, the deteriorating relations between Brussels and Washington have amplified volatility in global markets. Against this backdrop, the India-EU FTA solidifies a partnership between the world's "two giants". India's recent trade agreements with the UK, Oman, New Zealand, and now the EU symbolize its effort to broaden export markets, limit dependence, and strengthen economic resilience. However, the EU agreement is not a replacement for India's trade with the US. India's trade with the US as compared to the EU has yielded a higher net profit over the years. While trade talks with Washington continue to stall, and tariffs on Indian products remain as high as 50%, New Delhi has opted for a more proactive course, deploying trade diplomacy not only to advance economic interests but also to reinforce its broader geopolitical positioning.

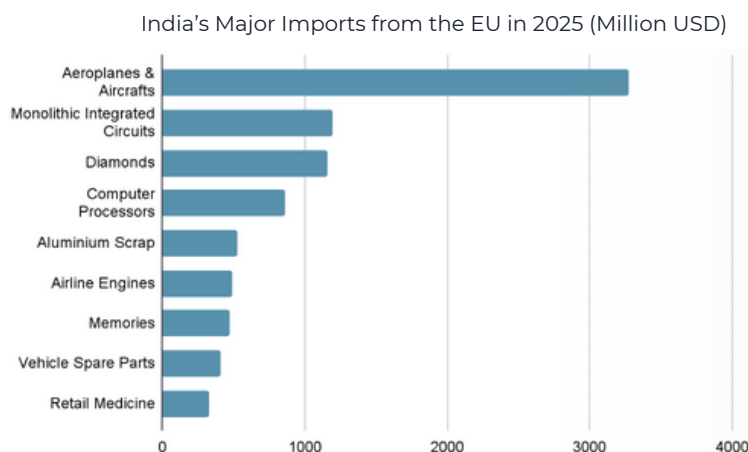
India Trade Balance: US Vs. EU



Source: The Economist

Sectoral Implications

- India is opening in a staged way, offering 92.1% of tariff lines with 49.6% of lines going zero-duty immediately and much of the rest phased over 5-10 years. Hence, domestic manufacturers don't face an overnight cliff, but investors should price-in steadily rising competition that may squeeze margins in the most exposed sectors over a multi-year period.
- Autos in focus: India will cut import duty on EU premium combustion engine cars from up to 110% to 30% (for cars priced above €35,000) and 35% (for priced between €15,000-€35,000), within a combined quota of 100,000 cars/year that rises to 160,000 over 10 years. While this is unlikely to flood the market since premium cars account for around 1% of sales in the country, it resets pricing and tech expectations for the premium segment intensifying competition for domestic manufacturers and suppliers.
- Cheaper inputs for India's manufacturing: Brussels says tariffs on 96.6% of its goods exports to India will be eliminated or reduced, saving European firms approximately €4bn/year in duties and doubling EU exports to India by 2032. This translates to competitively priced EU machinery, transport equipment, and chemicals (the EU's main exports to India), which can lower capex costs and improve productivity for Indian manufacturers that are scaling.
- Trade integration beyond tariff reduction: The EU is expanding India's access to 144 services sub-sectors such as IT, professional services, and education, while India is opening 102 services sub-sectors for EU firms. This will simplify cross-border business by reducing policy friction, enabling Indian firms to establish EU partnerships and service European clients from India.



Source: Forbes India

Business Implications

- While preferential tariffs will boost profit margins in the long-run, immediate investments should be made in robust compliance frameworks to meet rules of origin requirements. Firms that master traceability and supplier documentation will be better placed to capture tariff gains while avoiding disputes or delays.
- Beyond rules of origin requirements, EU conformity requirements remain a high bar for many Indian firms. Foods, chemicals, and regulated industrial products are likely to face the highest additional compliance costs.
- India's exporters are likely to benefit from competitive pricing from European vendors, reducing their input costs for machinery and other intermediary goods. However, firms that compete with importers are likely to struggle with shrinking market share.
- The FTA is likely to generate several second-order benefits. Sectors including logistics, ports, testing and certification will be fundamental to facilitating the growing trade between India and the EU. This will also increase employment opportunities in these sectors.